

Organization and Management Exam Notes

ME 708 · IV-I (BEL, BEX, BCT, BEI) · TU, IOE · tiers over 29 papers, 2065–2082 BS

1. Introduction

20 hrs · asked in **all 29 papers** · 6 syllabus units, 28 sub-topics · **956 marks, 40.5% of the archive** → the biggest chapter by far: about 21 of every 80 marks.

READ THIS FIRST

Chapter 1 is pure theory, and almost every question is **an 8-mark question split 4+4, 3+5 or 2+6**: two lists glued together. Learn the lists below as lists.

1. **Six lists carry the chapter**, each asked in 9 to 16 papers: importance of organization, principles of organization, formal vs informal organization, functions of management, levels + skills of management, and the three classical theories (Taylor, Fayol, Mayo).
2. **Forms of ownership and structures** are compare-and-choose questions: “JSC vs partnership”, “line & staff vs line”, “which structure for an engineering project”. The comparison tables in §1.4 and §1.5 answer them directly.
3. **Purchasing and marketing**: two questions set every year in some form (functions of purchasing; importance of marketing).

Tier chips count **papers out of 29** (2065–2082 BS): **TOP n/29** asked in 8+ papers **HOT n/29** 4–7 papers **PIN n/29** 1–3 papers inside an 8-mark question **LOW n/29** 1–3 papers, short note only. Bold year = Regular exam.

1.1 Organization

Define organization. Why is it necessary? Explain its importance and role in society **1 2 3 4 5 8**

TOP 16/29 82 Bh, 80 Bh, 78 Bh, 76 Ch, 76 Ash, 75 Ch, 75 Ash, 74 Ash, 73 Ch, 73 Shr, 72 Ch, 72 Ka, 71 Ch, 70 Ch, 69 Ch, 65 Shr · the opener to half the chapter's questions

Definition

- **Mooney and Reiley**: “Organization is the form of every human association for the attainment of a common purpose.”
- Working definition: a **collection of people working together in a coordinated and structured way to achieve one or more goals**.
- As a **process**: identifying + grouping work → defining + delegating responsibility and authority → establishing relationships so people work effectively together.
- Three views of the same thing (AJ Sir): **goal-oriented system** (people work for specific goals), **social system** (people work in groups), **technological system** (people apply knowledge and techniques).

Necessity (why we need organization)

- **Complexity of industry:** large plants, complex methods need structure.
- **Growing competition:** required quantity + quality, at required time, at minimum cost.
- **Optimum use of resources:** men, machines, materials, money.
- **Fixes authority and responsibility** → no confusion, no conflict.
- **Coordination** of efforts of many people toward one goal.
- **Reduces labour problems; facilitates administration.**
- **Stimulates creativity** and specialization.
- People achieve together what no individual can alone; diverse skills, more resources.
- *Andrew Carnegie:* take away the money and the works but leave the organization, and he would rebuild within a few years.

Importance / role in society

- **Produces goods and services** society needs (food, power, transport).
- **Employment** and income → livelihood for millions.
- **Development:** hospitals, schools, universities, banks, telecom, roads.
- **Raises living standard:** better products at lower cost.
- **Innovation and technology:** research, new products.
- **Revenue to government** (taxes) → public services.
- **Social welfare:** CSR, cooperatives, NGOs serve the weak.
- **Civilization itself** is organized effort: without organization there is only self-sufficiency, no division of labour, no trade.
- **Can we sustain without organization?** No: every need beyond bare survival (education, health, security) is delivered by some organization.

Role of organization in an employee's professional growth 4

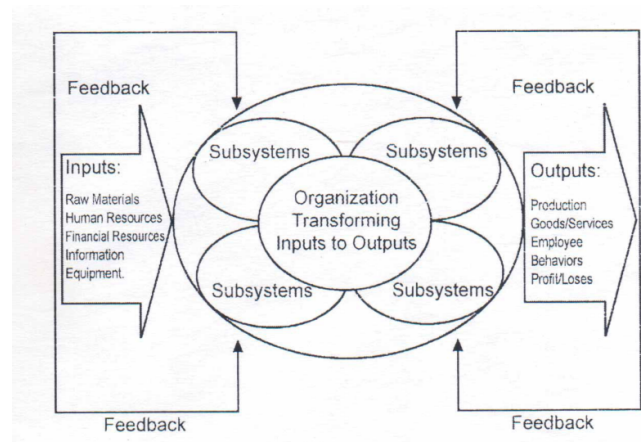
PIN 2/29 81 Bh, 75 Ch · always paired with “do we need informal organization?” (below)

- **Training and development:** on-the-job training, workshops, higher study.
- **Career path:** promotion through levels, job rotation, wider responsibility.
- **Performance appraisal / merit rating** → feedback, recognition.
- **Mentoring:** seniors and supervisors transfer knowledge (knowledge-oriented model).
- **Exposure:** teamwork, projects, clients, new technology build skills.
- **Security + remuneration:** stable income lets an employee invest in learning.

Organization as a system: open system, social system, system approach applied to organization 2 4

PIN 3/29 81 Bh, 79 Ba, 70 Ch

- **System** = set of interdependent parts working together toward a goal.
- Organization as a system:
 - **Inputs:** 5 M's, men, materials, machines, money, methods (+ information).
 - **Transformation process:** sub-systems (production, finance, marketing, personnel) convert inputs.
 - **Outputs:** products, services, profit, employee satisfaction.
 - **Feedback:** customer response, results vs plan → corrections.
 - **Environment:** external (social, political, economic, cultural, technology) and internal (board, employees, culture).
- **Open system:** continuously exchanges inputs and outputs with its environment and must adapt to changes in technology, market, customer needs, rules. A closed system ignores the environment and decays.
- **Social system:** people interact in groups; their attitudes, perceptions, norms shape how it works (Mayo, Barnard).
- **System approach applied:** every change (new technology, process) ripples to people, jobs, skills → plan for change, assess change forces, implement (Kaila). Also called a change-management plan.



Organization as an open system: inputs, transforming sub-systems, outputs, feedback from both ends. ioenotes Ch. 1, p1.

Organizations, people and management

- Organizations exist to accomplish work **people cannot do alone**.
- While their goals stay appropriate, **society lets them exist**.
- **People shape organizations:** their personality, attitudes and behaviour decide how it operates.
- Organizations **need management** to achieve their goals.

Principles of organization 4 5 6 8

TOP 9/29 82 Bh, 80 Bh, 76 Ash, 74 Ch, 72 Ch, 72 Ka, 71 Ch, 71 Shr, 70 Asa · "with relevant examples" in 82 Bh

- 1. Unity of objectives:** clear goals for firm, each department, each post.
- 2. Division of labour / specialization:** work split into jobs matched to skill.
- 3. Departmentalization:** related activities grouped into units.
- 4. Scalar chain / chain of command:** clear line of authority top to bottom.
- 5. Unity of command:** one subordinate, one boss.
- 6. Authority = responsibility:** authority given must match duty assigned.
- 7. Span of control:** limited no. of subordinates per supervisor (5–6 at top, up to 20 at shop floor).
- 8. Delegation:** authority pushed down to where decisions are made.
- 9. Centralization vs decentralization** balanced to firm size.
- 10. Coordination:** departments' work synchronized.
- 11. Simplicity:** minimum levels → easy communication.
- 12. Flexibility:** structure adapts to growth and change.
- 13. Communication:** free two-way flow, with feedback.
- 14. Continuity:** structure survives change of people.
- 15. Efficiency:** goals at minimum cost and effort.

Examples (for 82 Bh)

- **Unity of command:** a hospital ward nurse reports to one ward in-charge only.
- **Span of control:** a factory foreman supervises 15 workers, a CEO only 5 managers.
- **Unity of objectives:** a bank splits its national target into branch targets.
- **Scalar chain:** a site engineer's leave request goes through the project manager, not straight to the MD.

Two cautions worth a line

- **Over-specialization:** jobs split too finely become boring → performance falls. Balance specialization with job rotation or enlargement.
- **Span keeps widening:** with downsizing and IT, firms remove layers → each manager supervises more people.
- **Flexibility** means small alterations and expansions as circumstances change, not a new structure every year.

Importance of setting goals for an organization 3

PIN 1/29 82 Bh

- Gives **direction:** everyone knows what to achieve.
- **Basis for planning** and resource allocation.
- **Standard for control:** actual results measured against goals.
- **Motivates:** clear, achievable targets (see MBO, §1.3).
- **Coordinates** departments toward one end; resolves conflicts.

Formal and informal organization: definitions, differences, need for informal organization 2 3 4 5

TOP 11/29 82 Ba, 81 Bh, 79 Bh, 79 Ba, 76 Ch, 75 Ch, 74 Ch, 73 Shr, 71 Shr, 70 Asa, 65 Shr · short note in 65 Shr

- **Formal organization:** structure **deliberately created by management** for enterprise objectives; official network of authority, responsibility and communication. **Chester Barnard:** “a system of consciously coordinated activities of two or more persons towards a common objective”; exists when people (a) can communicate, (b) are willing to act, (c) share a purpose.
- **Informal organization:** network of personal and social relations that **emerges spontaneously** from friendship, language, culture, common interests. Barnard: “joint personal activity without conscious common purpose, though contributing to joint results”. Has its own informal leader, norms and grapevine.

Basis	Formal	Informal
Origin	Deliberately created by management	Spontaneous, social and psychological forces
Purpose	Organization's legitimate goals	Members' social satisfaction
Size	Can be very large	Small groups
Stability	Stable, long-lived	Unstable
Authority	Hierarchy, flows top down	All equal; power flows from the group
Behaviour	Rules and regulations	Group norms, beliefs, values
Communication	Official chain of command	Grapevine, informal channels
Leadership	Vested in the manager	Chosen by the group, may out-power the manager
Abolition	Management can abolish it	Management cannot abolish it
Chart	Shown on organization chart	Never shown

Need for informal organization (“do we need it indeed?”)

- Yes: it **fills gaps** the formal structure leaves.
- **Social satisfaction**, sense of belonging → morale.
- **Fast communication** (grapevine) across departments.
- **Cooperation and teamwork** beyond job descriptions.
- **Safety valve** for frustration; eases work pressure.
- **Feedback to management** on real employee mood.
- Risks: rumours, resistance to change, group conflict. Management should **understand and use it**, not suppress it (Hawthorne, §1.3).

Informal organization within the same family? (79 Ba)

- **Yes.** A family is itself an informal organization (no written hierarchy), yet sub-groups form inside it: siblings, cousins of the same age, members sharing a hobby or a family business.
- In a **family business** (single owner or partnership) the formal roles (owner, manager, accountant) sit alongside informal family loyalties, which often decide more than the formal roles do.

Historical development of organization 3

PIN 1/29 79 Bh

- Concept of organization grew with **economic activity:** each stage needed a larger, more structured way of working together.

1. Pre-industrial era

- Self-sufficiency (village economy).
- Commercial stage with marketable surplus: barter → money system.
- Means of transport (ships, railways) → wider trade.

2. Modern industrial era

- Industrial revolution (James Watt's steam engine, machine tools) → factories.
- Corporate form: joint stock company with limited liability.
- Managerial revolution: scientific management (Taylor, Fayol).
- Mechanization, automation; economic liberalization.
- Globalization: multinationals; GATT (1947), ISO (1947), WTO (1995), SAFTA.

Characteristics / elements of an organization 4

PIN 2/29 73 Ch, 68 Ch

- **Group of people** (two or more) + **common goal**.
- **Division of work** and specialization.
- **Authority-responsibility structure** (hierarchy) and **coordination**.
- **Communication network; rules and procedures**.
- **Resources**: men, money, materials, machines, methods.
- **Environment** it serves and adapts to; **continuity** beyond members.
- For business operations add: profit motive, risk bearing, legal identity, customers.

Organizational behaviour: a multidisciplinary field; how management affects it 4

HOT 4/29 68 Ch, 68 Ba, 67 Asa, 66 Bh · 2065–2068 papers only verified/added

- **OB** = study of how individuals and groups behave in organizations, to improve performance and satisfaction.
- **Multidisciplinary**, it borrows from:
 - **Psychology**: individual learning, motivation, perception, personality.
 - **Sociology**: groups, roles, status, culture.
 - **Social psychology**: attitude change, group decisions, communication.
 - **Anthropology**: values, cultures across societies.
 - **Political science**: power, conflict, politics in organizations.

How management affects OB

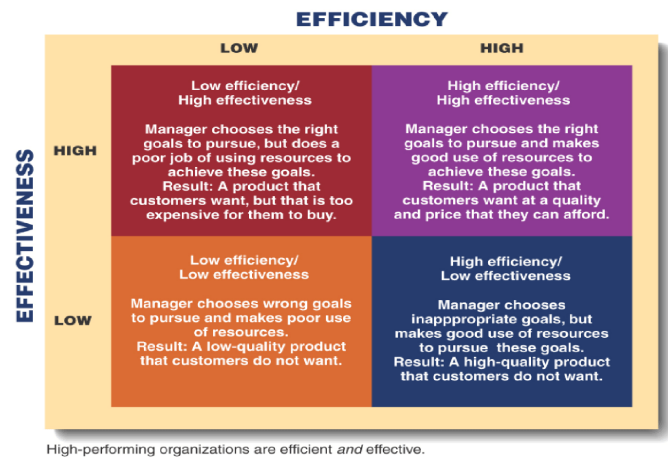
- **Structure**: tall, rigid hierarchy → caution and passing the buck; flat structure → initiative.
- **Leadership style**: autocratic control breeds compliance; participation breeds commitment.
- **Reward system**: what is rewarded gets repeated.
- **Job design**: enriched jobs raise interest; monotonous jobs raise absenteeism.
- **Communication and culture**: open channels build trust; rumours fill silence.

1.2 Management

Define management. Explain the functions of management 2 3 4 5 8

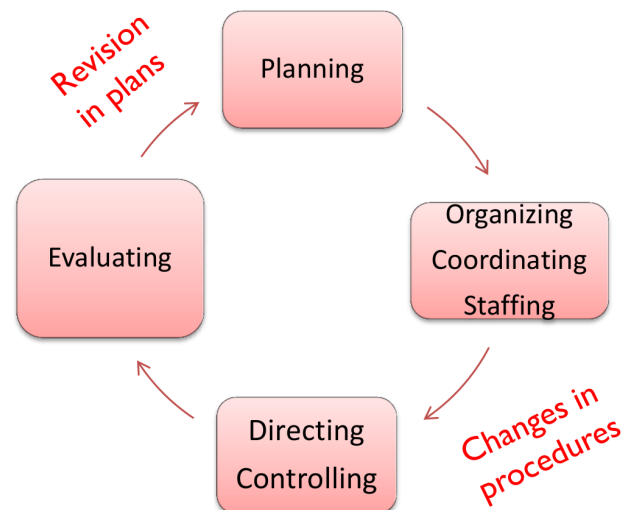
TOP 15/29 82 Bh, 81 Ba, 80 Ba, 79 Ba, 78 Bh, 76 Ch, 76 Ash, 75 Ch, 75 Ash, 73 Shr, 72 Ka, 70 Asa, 69 Ch, 68 Ch, 66 Bh · the most asked single list in the subject

- **Simple:** getting things done through other people.
- **Full:** “a social process involving coordination of human and material resources through planning, organizing, staffing, leading and controlling, to accomplish stated objectives” **effectively** (right goals) and **efficiently** (least resources).
- Resources it coordinates: people, machinery, raw materials, computers and IT, patents, finance, loyal customers.
- The **brain** of an organization; as old as civilization (Sun Tzu, Chanakya’s Arthashastra).
- **Efficiency** = doing things right (least input per output). **Effectiveness** = doing the right things (the goal customers want). High performers are both (figure).



Efficiency (use of resources) across, effectiveness (choice of goal) down.

Management Process



The management process as a loop.

- Management is an **ongoing activity** made of eight functions (Adhikari), detailed below.
- They form a **process**, not a sequence done once: evaluation feeds revised plans and changed procedures (right).
- **Fayol’s five** (AJ Sir): planning, organizing, directing (commanding), coordinating, controlling. Write these five if the question says “basic” functions.

Functions (POSDCoRB, extended)

- 1. Planning:** “thinking before doing”.
 - Deciding in advance what, how, when and by whom (Koontz & O'Donnell).
 - Sets objectives and the path to them; basis of every other function.
 - Eg a hydropower firm fixes its commissioning date and budget.
- 2. Organizing:** the backbone of management.
 - Identify and group activities into departments and jobs.
 - Assign them to people; set authority-responsibility relations.
- 3. Staffing:** filling the posts of the structure.
 - Recruit, select, place, train, appraise, pay (Ch. 2).
 - Right person in the right job at the right time.
- 4. Directing:** putting the plan into action.
 - Orders, guidance, supervision of subordinates.
 - Needs leadership and communication, not just commands.
- 5. Motivating:** stimulating willingness to work.
 - Uses internal (interest, pride) and external (pay, praise) motivators.
 - Satisfied needs → effort and loyalty (Ch. 3).
- 6. Coordinating:** “orderly arrangement of group effort to provide unity of action” (Mooney & Reiley).
 - Synchronizes departments so no one works against another.
 - Internal, external, vertical, horizontal.
- 7. Controlling:** checking results against plans.
 - Set standards, measure performance, correct deviations.
 - Physical, financial and budgetary control.
- 8. Communicating:** the link through which all others work.
 - Sender, message, receiver, feedback.
 - Orders flow down, reports and suggestions flow up.

Planning: meaning, objectives, steps, advantages, limitations, components 3 5

the first function; expand it when a question says “explain the functions” at 8 marks

- **Meaning:** most basic function; **thinking before doing;** preparation for action.
- Includes forecasting and framing objectives, policies, programs, schedules, procedures, budgets.
- **Koontz and O'Donnell:** “deciding in advance what to do, how to do it, when to do it and who is to do it. Planning **bridges the gap** from where we are to where we want to go.”

Objectives of planning

1. **Effective forecasting:** anticipate demand, costs, risks.
2. **Certainty in activities:** everyone knows what comes next.
3. **Performance standards:** targets that control can measure against.
4. **Specific direction:** all departments pull toward one goal.
5. **Tune the organization to its environment:** market, policy, technology.
6. **Economy in management:** no idle resources, no duplicated effort.

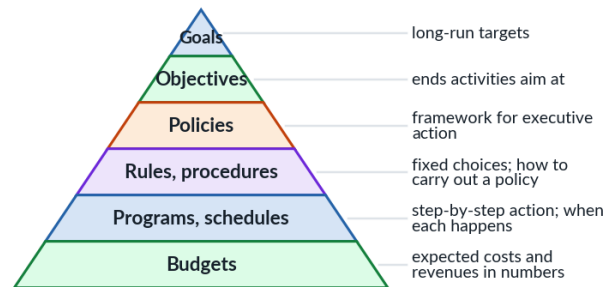
Advantages

- Maximum use of resources; reduces uncertainty.
- Basis for managerial action and for control.
- Encourages innovation and creativity.

Limitations

- Forecasts can be wrong.
- Costly and time consuming.
- External factors (policy, market, disaster) upset plans.
- Resistance to change; rigidity and inflexibility.

Steps in planning (Adhikari)

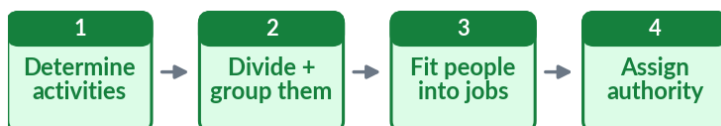


Components of planning from the broadest (goals) to the most numerical (budgets).

Organizing and staffing: meaning and steps

- **Organizing:** identify and group activities, divide them among people, create authority-responsibility relationships among them.
- The **backbone of management:** links people, work and resources.
- Avoids duplication and gaps: every task has an owner.

Steps in organizing



- **Staffing:** fill the posts of the structure with **competent, qualified** people (detail in Ch. 2).
- Continuous: people retire, leave or are promoted, so posts keep reopening.

Steps in staffing



Directing and motivating

Directing

- Motivating, guiding and supervising subordinates toward company objectives.
- **Only giving orders is not directing:** plans succeed only when diverse human efforts are coordinated, guided and directed.
- It **actuates** members to work effectively and efficiently.
- Steps:
 1. issue orders and instructions;
 2. guide and train subordinates;
 3. supervise their work.
- Elements: supervision, communication, leadership, motivation.

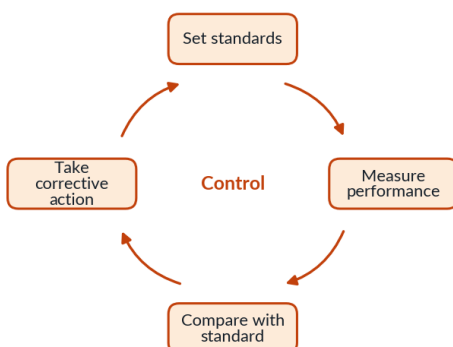
Motivating: fundamentals

- Inspiring people to **intensify their desire and willingness** to perform and co-operate; “push the right button to get the desired action”.
- First fundamental: people want to **exist and survive**: food, clothing, shelter, education, medical care.
- Second: the desire to **achieve a goal**: psychological, social, security, ego (self-respect) needs. People work sincerely when sure these will be met.

Controlling and co-ordinating

Controlling

- Setting standards, measuring actual performance, taking corrective action.
- **Koontz and O'Donnell:** “measurement of accomplishment against the standard and correction of deviations to ensure attainment of objectives according to plans.”
- **Types**, by objective:
 - **physical:** quantity and quality of products;
 - **financial:** unit cost, material cost, labour expense;
 - **budgetary:** future physical and financial standards set, results compared.



Internal (intrinsic)	External (extrinsic)
Interests	Attractive salary, bonus
Emotional attachment	Praise, incentive
Burning desire	Punishment
Fighting spirit for a noble cause	Fear of losing the job

Essentials of a sound motivation system

1. **Good wages:** enough for a decent living.
2. **Financial incentives:** bonus, profit share linked to output.
3. **Achievement and growth:** training, promotion paths.
4. **Human relations:** respect, recognition, fair treatment.
5. **Good working conditions:** safety, light, rest.
6. **Job satisfaction:** interesting, meaningful work.
7. **Job security:** no fear of arbitrary dismissal.

Co-ordinating

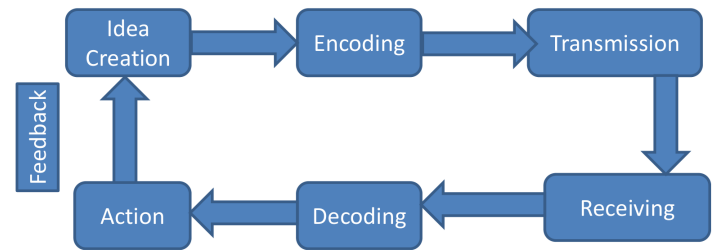
- Ongoing process by which a manager develops an **integrated, orderly, synchronized** pattern of group effort, for **unity of effort** toward a common purpose.
- **Mooney and Reiley:** “the orderly arrangement of group effort, to provide unity of action in the pursuit of common purpose.”
- Achieved through clear objectives, sound structure, communication, committees, leadership.

Types of co-ordination

Where	Internal among departments, levels and people inside the firm	External with customers, suppliers, government, public
Direction	Vertical between levels: top, middle, lower	Horizontal same level: production, sales, finance

Communicating: components and process

- Process by which instructions, ideas, thoughts or information are **transmitted, received and understood** by people in the organization.
- **Components:** sender, message, receiver, feedback.
- Sender prepares the message properly; receiver must understand it clearly.
- **Never complete** until the sender knows it was received and understood, through feedback or the receiver's behaviour.



Process of effective communication.

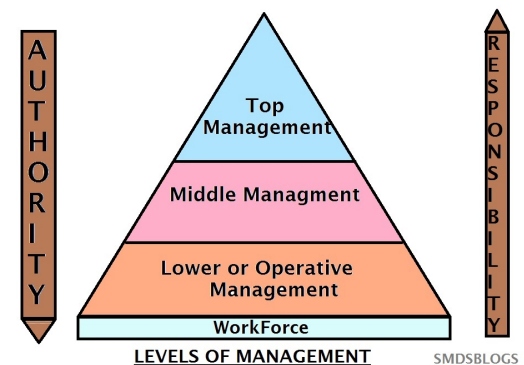
Two principal functions and why they matter most (79 Ba) 4+2

- Choose **planning** and **controlling**: the two ends of the same loop.
- **Planning:**
 - Sets the target, the method and the timetable.
 - Every other function starts from it: organizing groups the work the plan needs, staffing fills it, directing executes it.
 - Reduces uncertainty and waste.
- **Controlling:**
 - Checks the result against the plan.
 - Catches deviations early, while they are cheap to fix.
 - Feeds lessons into the next plan.
- **Why these two:** no plan → nothing to control; no control → plans are only wishes.

Levels of management: why different levels are needed, and functions at each level 2 4 5 6

TOP 9/29 82 Bh, 82 Ba, 80 Bh, 78 Bh, 75 Ash, 74 Ch, 73 Ch, 72 Ch, 69 Ch

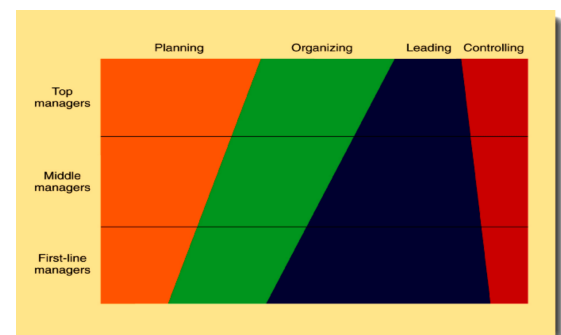
- **Top level** (board of directors, CEO, MD, chairman):
 - Sets goals, objectives, policies, budget.
 - Main function: **decision making, planning**; cross-department responsibility.
 - Answerable for success or failure of the whole firm.
- **Middle level** (department heads, section officers):
 - Implements top's policies; **organizes** resources.
 - Link between top and lower; plans for own department.
 - Selects, trains, motivates lower managers.
- **Lower / operative level** (foreman, supervisor, inspector):
 - Day-to-day supervision of workers; **directing** and on-the-spot control.
 - Passes workers' problems upward.



Authority rises and responsibility widens toward the top. AJ Sir, Ch. 1 deck, slide 15.

Why levels are needed

- **Span of control:** one person cannot direct hundreds.
- **Division of work:** strategic vs tactical vs operational decisions.
- **Clear authority and responsibility;** accountability at each step.
- **Communication:** orders down, reports up.
- **Specialization and career growth:** a ladder for managers.



Share of time on each function by level: top managers plan and organize most; first-line managers lead (direct) most.

Managerial skills and the degree needed at each level; qualities of a good manager 1 3 4 5

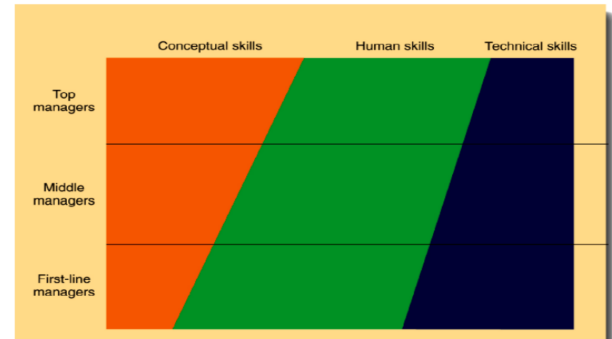
TOP 10/29 82 Ba, 81 Bh, 81 Ba, 78 Bh, 76 Ch, 75 Ash, 74 Ch, 73 Ch, 72 Ch, 71 Shr · short note in 81 Bh

Katz's three skills

- **Technical skill:** job-specific methods, processes, tools, equipment of a specialized field. **Most needed at lower level.**
- **Human (interpersonal) skill:** understand, communicate with, motivate and lead people and groups. **Needed equally at all levels.**
- **Conceptual skill:** see the organization as a whole, analyse and diagnose situations, cause vs effect, long-range decisions. **Most needed at top.**

Modern manager also needs

- **Decision-making, communication, IT / digital skills.**
- **Time management, diagnostic skill, design skill** (solving problems, not just spotting them).



Degree of each skill by level: conceptual shrinks and technical grows going down; human skill stays wide throughout.

Qualities of a good manager

- **Leadership and vision:** sees where the unit must go, carries people along.
- **Decisiveness:** decides on time with incomplete information.
- **Communication:** clear orders, and listens to subordinates.
- **Integrity and fairness:** treats all alike; earns trust.
- **Technical knowledge** of the field, and the ability to keep learning.
- **Emotional stability:** calm under pressure; patient.
- **Initiative:** acts on problems before being told.

Roles of a manager (Mintzberg) 4

PIN 1/29 76 Ash verified/added

- **Interpersonal roles:**
 - **Figurehead:** ceremonial head; signs documents, receives visitors.
 - **Leader:** hires, trains, motivates subordinates.
 - **Liaison:** builds a network outside the unit.
- **Informational roles:**
 - **Monitor:** gathers news about the unit and its environment.
 - **Disseminator:** passes that information inside.
 - **Spokesperson:** speaks for the unit to outsiders.
- **Decisional roles:**
 - **Entrepreneur:** spots opportunities, starts change.
 - **Disturbance handler:** fixes crises, strikes, breakdowns.
 - **Resource allocator:** decides who gets what money, people, time.
 - **Negotiator:** bargains with unions, suppliers, clients.
- AJ Sir's "interpersonal, informational, decisional skills" are these three role groups.

Importance of management 3 4

PIN 2/29 71 Shr, 70 Asa

- **Achieves group goals:** directs everyone to common objectives.
- **Optimum use of resources:** efficient + effective; less waste. The better a society uses scarce resources, the greater its well-being.
- **Reduces costs** → competitive prices.
- **Establishes sound organization:** right person, right job.
- **Adapts to change:** new technology, markets.
- **For individuals:** helps people deal with bosses and co-workers; opens a path to a well-paying job and a satisfying career.
- **Development of society:** "no underdeveloped countries, only undermanaged ones"; jobs, better living standard.
- **Breaks the poverty cycle:** low productivity → low income → low saving → low investment; good management lifts productivity and turns the loop upward (ioenotes p5).

Models of management: name them, explain any two or three with examples 3 4 5

HOT 4/29 81 Bh, 80 Bh, 76 Ash, 70 Ch · team-effort model as a short note in 81 Bh

1. Hierarchical:

- Authority comes from the superior; responsibility is owed to the superior.
- Eg army, civil service.
- **Misses:** leadership, charisma, informal communication.

2. Task-oriented:

- Manager performs five tasks: plan, organize, direct, coordinate, control.
- The tasks **cycle**, they are not a line (figure below).
- Eg a production plant. **Misses:** can create artificial manager-worker links.

3. Allocational:

- Manager obtains, allocates, shares, monitors and returns resources (money, manpower, materials): "keeping the cup topped up".
- Eg finance or project resource manager.
- **Misses:** no true **process** view of managing.

4. Transactional:

- Management as a stage in the value-added chain; adds value to raw resources.
- Shows **how** management adds value, not just control.
- Eg supply chain firms.

5. Team effort:

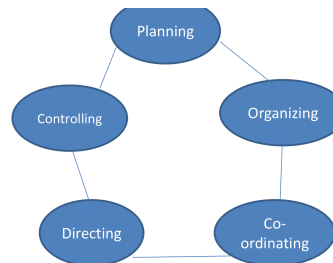
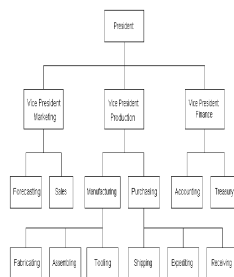
- Interlocking teams; manager as team leader stressing cooperation and coordination.
- Team output exceeds the sum of individuals.
- Leader embodies the group's traits to motivate it.
- Eg an agile software team, a surgical team.

6. Knowledge-oriented:

- Manager builds knowledge by experience, diffuses it by mentoring, teaching, coaching, training.
- The firm learns to adapt and wins in change.
- Eg consulting, R&D.

7. Goal-concentrated:

- Management as control toward goals, including resource management.
- Information from the environment triggers adjustments so the plan holds.
- Eg a sales team with targets.
- A real firm usually mixes several models.



Hierarchical model (left) and task-oriented model (right).

Management: science or art? 3

PIN 1/29 78 Bh

- **Science:** systematic body of knowledge; principles (Fayol, Taylor) tested by observation; cause-effect. Eg time study sets a standard output.
- Inexact science: deals with people, so results are not perfectly repeatable.

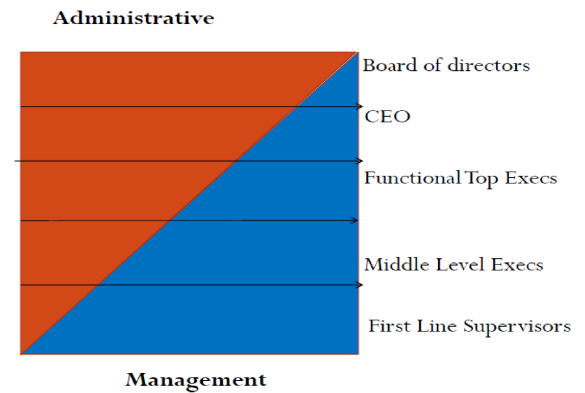
- **Art:** personal skill, creativity, judgement in applying knowledge; improves with practice. Eg two managers apply the same rule with different success.
- **Both:** science gives the principles, art applies them. Complementary.

Organization vs management (vs administration) 2

PIN 3/29 79 Ba, 76 Ash, 71 Ch

Basis	Organization	Management
Meaning	Structure: people + jobs + relations	Process: planning, organizing, directing, controlling
Nature	A tool / framework (the body)	The force that runs it (the brain)
Relation	One function of management	Uses organization to reach goals
Output	Defined roles, authority	Goals achieved efficiently

- **Administration:** lays down corporate policy, obtains finance, sets the limits within which the firm works: top level, **thinking**.
- **Management:** actual execution of that policy within those limits: lower levels, **doing**.
- Both exist at every level in different shares (figure): the board is mostly administration, first-line supervisors mostly management.



Administration (orange) shrinks and management (blue) grows going down the levels.

Which management theory is most practical today / best for organizations in Nepal? 4 8

PIN 2/29 80 Ba, 74 Ash · an opinion question: take a side and justify

- Argue for the **contingency / system approach**: no single best way; mix theories to fit the situation.
- **Why, for Nepal:**
 - Mixed sector: family firms, cooperatives, public corporations, MNCs, IT startups → each needs a different style.
 - Labour-intensive manufacturing (garments, cement) → Taylor's time study and incentives still raise output.
 - Public enterprises (NEA, NOC) → Fayol's clear hierarchy, unity of command, discipline cure overlapping authority.
 - Service and IT firms, remittance-driven youth workforce → behavioural approach: motivation, participation, recognition to retain staff.
 - Political instability, frequent policy change → open-system thinking, watching the environment.
- Conclude: **contingency approach**, drawing on all the classical tools.

1.3 Theories of Management

Scientific management (Taylor): principles, experiments, features, applicability today 3 4 5 8

TOP 11/29 82 Bh, 81 Ba, 80 Bh, 79 Ba, 75 Ch, 75 Ash, 72 Ch, 71 Ch, 68 Ch, 68 Ba, 65 Shr · short note in 68 Ch

- **F.W. Taylor** (1856–1915), US engineer at Midvale and Bethlehem Steel; “Father of Scientific Management”. Book: *Principles of Scientific Management* (1911). Term coined by Louis Brandeis (1910); Charles Babbage anticipated it (1832).
- **Definition:** “the art of knowing exactly what is to be done and the best way of doing it”; replacing rule of thumb with scientific study of work.
- Applies scientific knowledge and method to every aspect of management → best use of men, materials, machines, capital.
- **Historical development:**
 - Before: rule-of-thumb factories, soldiering (deliberate slow work), no standards.
 - Taylor's shop studies (1880s).
 - Gilbreths' motion study; Gantt chart.
 - Mass production (Ford's assembly line, 1913).

Taylor's own principles

1. **Science, not rule of thumb**, for each element of work.
2. **Scientific selection, training and development** of workers.
3. **Cooperation**, not individualism, between management and labour.
4. **Equal division of responsibility**: management plans, workers do.
5. Harmony, not discord; maximum output, not restricted output.

Adhikari's list of principles (write it if asked "principles" at 8 marks)

1. Science for each element of work.
2. Scientific selection, placement and training.
3. Division of labour.
4. Standardization of methods and tools.
5. Time and motion study.
6. Differential wages.
7. Labour-management co-operation.
8. Management by exception.

Techniques (features)

- **Time study**: standard time → fair day's work.
- **Motion study**: remove wasted motions (Gilbreth).
- **Fatigue study**: rest pauses.
- **Standardization** of tools, methods, conditions.
- **Differential piece-rate** wages: higher rate above standard.
- **Functional foremanship**: 8 specialist foremen.
- **Management by exception**: only deviations go to top.

Scientific management vs management science 3

PIN 1/29 72 Ch

- **Scientific management** (Taylor, 1900s): improves **worker productivity** at shop level by time and motion study, standardization, incentive wages.
- **Management science** (quantitative approach, 1940s on): uses **mathematical models**, operations research, statistics, simulation, linear programming for **managerial decisions** at every level.
- **Scope**: the first studies how a job is done; the second studies what decision to take (how much to stock, which route, which project).
- **Tools**: stopwatch, motion charts, piece rates vs computers, mathematical models, queuing, inventory models.
- **Link**: management science grew out of Taylor's idea of measuring instead of guessing.

Experiments that support it

- **Pig-iron handling** (Bethlehem Steel, 1898): 75 labourers loading 42 kg pigs; by method study, rest periods and incentive pay, output rose **12.5 → 47.5 tons/day** (AJ Sir's figures: 12.7 → 48.8), wages **\$1.15 → \$1.85**.
- **Shovelling**: shovel sized to a 21.5 lb load for each material; 400–600 men cut to 140, cost per ton halved.
- **Metal cutting**: 26 years, 30,000 tests on speeds, feeds → high-speed steel.

Still applicable today? Yes, largely

- Assembly lines, fast food, BPO call centres use standard times and methods.
- Lean manufacturing, Six Sigma, industrial engineering are its heirs.
- Incentive pay, work study, ERP-based control.
- But: human needs ignored, monotony, worker resentment → combine with behavioural approach.

Role of HR manager; how HR manager implements scientific management 4+4

PIN 1/29 75 Ch

Role / significance of the HR manager (4)

- **Manpower planning:** forecasts how many people, of what skill, when.
- **Recruitment and selection:** attracts and picks the right candidates.
- **Training and development:** builds skills; plans careers.
- **Performance appraisal:** measures work, feeds promotion and pay.
- **Wage and salary administration:** fair, competitive pay; incentives.
- **Welfare and safety:** working conditions, health, canteen, housing.
- **Industrial relations:** handles grievances, unions, bargaining.
- **Retention:** keeps good staff; records and HR information (see Ch. 2).

How the HR manager implements scientific management (4)

1. **Job analysis:** studies each job; writes job description and specification.
2. **Time and motion study:** fixes the standard time and the one best method.
3. **Scientific selection:** tests and interviews match people to jobs.
4. **Training** in the standard method, not rule of thumb.
5. **Standardization:** tools, working conditions, rest pauses.
6. **Differential incentive wages:** higher rate for output above standard.
7. **Worker-management cooperation:** explains the system, shares gains, handles grievances so workers do not resist.
8. **Management by exception:** reports only deviations upward.

Administrative management (Fayol): 14 principles, and are they applicable today? 4 8

TOP 9/29 82 Bh, 80 Ba, 79 Bh, 79 Ba, 75 Ash, 72 Ka, 71 Shr, 70 Ch, 70 Asa

- **Henri Fayol** (1841–1925), French mining engineer; “Father of Modern Management”. *General and Industrial Management* (1916).
- Studied management **from the top down** (Taylor: from the shop floor up); set the pattern of management and the **pyramidal** organization.
- Technical ability dominates at lower levels; managerial ability at higher levels.

The 14 principles

1. **Division of work:** each person does a specialized part → skill, speed, output rise.
2. **Authority and responsibility:** go together; whoever has the right to order answers for the result.
3. **Discipline:** obedience and respect for agreements; fair penalties; needs good superiors at every level.
4. **Unity of command:** orders from one boss only; two bosses → confusion.
5. **Unity of direction:** one plan and one head for each group of activities with the same objective.
6. **Subordination of individual interest** to the general interest of the firm.
7. **Remuneration:** fair to both employee and employer; satisfies both.
- **Six activities** of an industrial undertaking:
 1. **Technical:** production, manufacture, adaptation.
 2. **Commercial:** purchasing, selling, exchange.
 3. **Financial:** optimum use of capital.
 4. **Security:** protection of property and persons.
 5. **Accounting:** stock taking, balance sheet, costing, statistics.
 6. **Managerial:** planning, organizing, commanding, co-ordinating, controlling.
8. **Centralization:** how far decisions stay at the top; the degree depends on size and situation.
9. **Scalar chain:** unbroken line of authority from top to bottom; a “gang plank” lets peers talk directly when speed matters.
10. **Order:** a right place for everything and everyone (material and social order).
11. **Equity:** kindness plus justice toward all employees → loyalty.
12. **Stability of tenure:** low turnover; people need time to learn a job.
13. **Initiative:** let subordinates think out and carry out plans.
14. **Esprit de corps:** “union is strength”; team spirit and harmony.

Applicable today? Yes

- Every organization chart uses scalar chain, unity of command, division of work.
- Fayol's functions (POCCC) are still the standard management process.
- Matrix structures bend unity of command; startups bend centralization. Principles are **flexible guidelines**, applied by situation (Fayol said so himself).

Experiments / contributions around it

- Fayol: 30 years running Commentry-Fourchambault, turned a near-bankrupt mining firm profitable by applying these principles.
- **Frank Gilbreth** (father of motion study): process chart; fatigue cut by rest periods, seating layout, better conditions, principles of motion economy; therbligs.
- **Gantt**: Gantt chart, a scheduling tool comparing **planned vs actual** progress at a glance → corrective action on a significant deviation (see the plan chart in §4.4).
- **Weber**: bureaucracy (rules, hierarchy, impersonality).

Behavioural management approach (Mayo, Hawthorne): and how it compares with scientific and administrative approaches 3 4 5 8

TOP 11/29 82 Ba, 81 Bh, 81 Ba, 80 Ba, 79 Ba, 78 Bh, 76 Ch, 75 Ash, 73 Shr, 71 Shr, 66 Bh

- Scientific management concentrated on **physical** resources, not human ones.
- **Elton Mayo** and associates (1920s–30s): organization is a **social system**, not only a techno-economic one. Productivity depends on human behaviour and social environment, not only money.
- Good human relations → harmony, higher satisfaction → higher efficiency and productivity.
- Also: **Maslow** (need hierarchy), **McGregor** (X-Y), **Herzberg**, Follett, Barnard. Human relations movement.
- **Motivators** are the job and its conditions: recognition, belonging, challenging work, independence, participation, achievement, **job enlargement and enrichment**.

Elements of behavioural theory

1. **The individual**: recognize individual differences; each person has feelings, emotions, perceptions, attitudes, a changing psychology.
2. **The work group**: informal organization matters; integrate it intelligently with the formal one; group psychology drives motivation and productivity.
3. **Participative management**: workers share decision making and problem solving, mainly to raise productivity.

Hawthorne experiments (Western Electric, 1924–32)

1. **Illumination** (1924–27): output rose whether light went up *or down* → physical factors were not the cause.
2. **Relay assembly test room**: 6 women; rest, hours, pay varied; output rose almost every time → attention, group morale matter.
3. **Interviewing programme**: 21,000 workers → feelings, informal groups shape performance.
4. **Bank wiring room**: 14 men; group set its own output norm and enforced it → informal group controls output.

Conclusions

- Attention from managers raises output (Hawthorne effect).
- Workers are social beings; money is not the only motivator.
- Informal groups set norms; must be integrated with the formal organization.
- Satisfaction → productivity; participation and communication matter.
- Managers need **social skills**, not only technical ones.

Limitations

- Over-stresses the social side; satisfied workers are not always productive.
- Hawthorne method criticized (small samples).

Basis	Scientific (Taylor)	Administrative (Fayol)	Behavioural (Mayo)
Focus	Worker, shop floor	Manager, whole firm	People and groups
View of person	Economic man, money motivates	Part of a structure	Social man, needs motivate
Aim	Max output per worker	Sound structure, principles	Satisfaction → productivity
Method	Time and motion study	Principles from experience	Experiments, observation
Informal group	Ignored	Ignored	Central
Contribution	Standards, incentives, efficiency	Management process, 14 principles	Motivation, participation, human relations
Limitation	Mechanical, monotony	Rigid, universal claims	Neglects structure, economics

Advantages of behavioural over scientific (78 Bh, 73 Shr)

- Treats workers as humans, not machines.
- Uses informal groups instead of ignoring them.
- Participation raises commitment.
- Lower turnover, absenteeism and conflict.
- Quality improves with morale.

Advantages over modern theory (82 Ba)

- Simpler to apply; needs no models or data.
- Directly improves morale and motivation, where quantitative models ignore people.
- Still the base of HR practice.
- Admit that modern theory integrates it.

Modern management theories: system approach and contingency approach 4 5 7

HOT 4/29 82 Ba, 68 Ch, 67 Asa, 66 Bh · short note in 66 Bh

- After 1950; four streams:

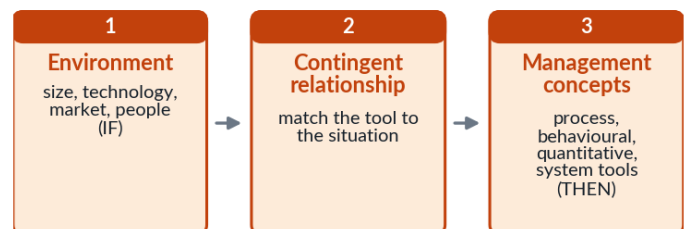
1. **Quantitative:** build a **model** expressing the system's effectiveness as a function of variables, at least one controllable. Tools: OR, maths, simulation, model building. Taylor's method was its early form. Systematizes managerial thinking.
2. **System:** organization = open system of interrelated sub-systems; inputs (information, energy, materials) → conversion (men-machine system) → outputs + feedback, all steered by a plan (Boulding, Johnson, Rosenzweig, Churchman, late 1960s). System = "an established arrangement of components which leads to accomplishment of particular objectives as per plan".
3. **Contingency:** "it depends".
4. **Operational:** Koontz, O'Donnell, Weihrich: management is a **universal body of knowledge** for every level and enterprise, applied with judgement to each firm's real problems.

Characteristics of modern thought

- System approach; dynamic; adaptive.
- Multidisciplinary; multivariable in thought.
- Multi-motivated in action.
- Multi-level and multi-dimensional.
- Probabilistic, not deterministic.

Contingency approach

- Woodward, Fiedler, Lawrence and Lorsch.
- **No one best way:** the right structure, style, technique depends on the situation (size, technology, environment, people).
- Eg a routine garment line suits tight rules; an R&D lab suits loose, participative control.



Importance

- Practical and flexible: fits the answer to the problem.
- Integrates classical, behavioural and quantitative tools.
- Fits fast-changing environments.
- Trains managers to diagnose before acting.
- Weakness: no firm principles, hard to teach.

Management by objectives (MBO) 4

LOW 1/29 68 Ch · short note verified/added

- **Peter Drucker (1954)**: superior and subordinate **jointly set objectives**, then review performance against them.
- Objectives are specific, measurable and time-bound.
- Process is a cycle (right).

Merits

- Clear goals: everyone knows what is expected.
- Commitment: people own targets they helped set.
- Self-control replaces close supervision.
- Objective appraisal against agreed results.

Demerits

- Time consuming; heavy paperwork.
- Favours short-term, measurable goals over quality.
- Fails if top management is not committed.



1.4 Forms of Ownership

Forms of ownership: list with brief explanation; choosing one; how an organization changes its form

4 8

HOT 4/29 82 Ba, 74 Ch, 73 Shr, 71 Shr

- **Firm** = ownership unit combining men, materials, machines to produce and sell at a profit.
- **Five forms**:
 1. **Single ownership**: one owner, unlimited liability.
 2. **Partnership**: 2+ partners by a deed, share profit and loss.
 3. **Joint stock company**: capital from shareholders, limited liability, separate legal entity.
 4. **Cooperative society**: voluntary, one member one vote, service motive.
 5. **Public corporation**: created by special act, owned by government.

Choosing a form: evaluation criteria

- **Size and nature** of the business.
- **Capital**: start-up and future needs.
- **Liability exposure**: can the owners risk personal property?
- **Control** the owners want to keep.
- **Tax** consideration.
- **Managerial ability** available.
- **Business goals** and **succession plans** (continuity).
- **Cost of formation** and government rules.

Changing form of ownership (73 Shr)

- Growth needs capital and skills one owner lacks → owner takes partners.
- Partnership's unlimited liability and instability → convert to a **private limited company**.
- More capital needed → **public limited** via IPO.
- Reverse path: loss-making public enterprise → privatized.

Nepali examples verified/added

- **Chaudhary Group**: family trading shop → group of companies → listed CG / Nabil holdings.
- **Nepal Telecommunications Corporation** → Nepal Doorsanchar Company Ltd (2004) → listed public company.
- **Bhrikuti Paper, Bansbari Leather**: public enterprises privatized in the 1990s.

Basis	Single	Partnership	JSC	Co-operative	Public corp.
Owners	One	2+, by deed	Shareholders	Members, 1 vote each	Government
Liability	Unlimited	Unlimited	Limited	Limited	Limited
Legal entity	No	No	Separate	Separate	Separate
Life	Ends with owner	Ends with a partner	Perpetual	Perpetual	Perpetual
Motive	Profit	Profit	Profit	Service	Public service

Single ownership (sole proprietorship): features, advantages, limitations 4 8

PIN 3/29 80 Bh, 71 Shr, 65 Shr · short note in 65 Shr; 80 Bh compares it with a JSC (table below)

Features

- Oldest, simplest; one person owns, finances, manages, bears all risk.
- Owner and business are the same in law.
- **Unlimited liability**: personal property liable for business debts.
- Suits small shops, cottage industry, handicrafts, farming.

Advantages

- Easy and cheap to form and dissolve; few legal formalities.
- Full control, prompt decisions, flexibility.
- Direct motivation: all profit to owner.
- Business secrecy.
- Personal contact with customers and employees.
- Little government control.

Limitations

- Limited capital.
- Limited managerial skill (one person cannot master production, marketing, finance, HR).
- Unlimited liability.
- Uncertain life: ends with owner's death or illness.
- Cannot compete with large firms; no economies of scale.
- Heavy workload, stress; isolation in decisions.

Partnership: features, types of partners, advantages and difficulties 3 4 5

PIN 3/29 81 Bh, 74 Ash, 67 Asa · short note in 67 Asa

Features

- Association of 2+ persons to run a business and share profit.
- Formed by agreement: **partnership deed** (capital, profit ratio, duties, dissolution).
- Unlimited, joint and several liability (except limited partners).
- Mutual agency: each partner binds the firm.
- No separate legal entity; restricted transfer of interest.

Types of partners

- **General / active**: manage, unlimited liability.
- **Limited**: liability up to capital; no say in management.
- **Sleeping / silent**: capital only, no management, still liable.
- **Nominal**: lends name only; no capital.
- **Minor**: under 18, benefits only.
- **Partner by estoppel**: implies being a partner, liable to third parties.

Advantages

- Easy to form; little regulation.
- More capital than sole owner.
- Complementary skills; division of labour.
- Shared risk; prompt decisions (few people).
- Flexibility; personal interest of partners.

Difficulties / disadvantages

- Unlimited liability of at least one partner.
- Conflict, misunderstanding between partners → instability.
- Limited life: ends on death, insolvency, retirement of a partner.
- Mutual agency: one partner's mistake binds all.
- Cannot easily transfer share; capital still limited.
- Unequal effort vs equal sharing breeds resentment.
- Less secrecy than a sole owner; hard to dispose of one's interest.

Joint stock company: meaning, characteristics, types, formation in Nepal, advantages and disadvantages 2 3 4 5 6 8

TOP 10/29 81 Ba, 80 Bh, 80 Ba, 79 Ba, 76 Ch, 76 Ash, 75 Ash, 70 Ch, 69 Ch, 67 Asa · **most asked form of ownership**

- **Meaning**: voluntary association of persons, registered under the Companies Act, whose capital is divided into transferable shares. Shareholders own it; an elected **board of directors** manages it (elected at the AGM).

Characteristics

- Created by law (registration); **separate legal entity**.
- **Perpetual succession**: unaffected by death of shareholders.
- **Limited liability**: up to share value.
- **Transferable shares** (freely in public company).
- Common seal; can sue and be sued.
- Ownership separate from management.
- Large membership, large capital.

Types (Companies Act 2063, Nepal) verified/added

- **Private limited**: 1 to 101 shareholders; cannot invite the public to buy shares; share transfer restricted; name ends "Pvt. Ltd."
- **Public limited**: min 7 promoters, no upper limit; min paid-up capital Rs 1 crore; shares offered to public and listed; "Ltd."
- Adhikari's "max 50" for private is the old Indian figure; Nepal's is 101.

Advantages

- Huge capital from many investors; fresh issue possible.
- Limited liability → attracts investors.
- Transferable shares → liquidity.
- Stability, continuity.
- Professional, efficient management.
- Economies of large-scale production.
- Public confidence (audited, published accounts); easy loans.
- Social benefit: jobs, investment opportunity.

Formation / registration in Nepal verified/added

1. **Promotion**: promoters identify the idea, feasibility, name.
2. **Name approval** from the **Office of the Company Registrar (OCR)** (online, ocr.gov.np).
3. **Documents** filed:
 - Application form.
 - **Memorandum of Association**: name, objectives, registered office, authorized / issued / paid-up capital.
 - **Articles of Association**: internal rules, board, meetings, share transfer.
 - Promoters' citizenship (passport for foreigners); agreement among promoters; consent of directors.
 - Registration fee (scaled to authorized capital).
4. OCR scrutinizes → **certificate of incorporation**.
5. PAN / VAT at Inland Revenue; local ward registration.
6. Public company only: prospectus approved by SEBON, IPO, **certificate of commencement of business**, listing at NEPSE.

Disadvantages

- Difficult, costly, lengthy formation; legal formalities.
- Lack of personal interest (salaried managers, scattered owners).
- Delay in decisions (board meetings).
- Lack of secrecy.
- Excessive government regulation.
- Directors may exploit shareholders; speculation in shares; favouritism.
- Impersonal labour relations.

Basis	Single ownership	Partnership	Joint stock company
Owners	One	2 or more, by deed	Many shareholders
Formation	Easiest, cheapest	Easy, by agreement	Registration, costly
Legal entity	None	None	Separate
Liability	Unlimited	Unlimited (joint)	Limited
Capital	Small	Moderate	Large
Management	Owner	Partners	Board of directors, professional
Continuity	Ends with owner	Ends with a partner	Perpetual
Transfer of interest	At will	Needs all partners' consent	Free (public)
Secrecy	Full	Fair	Little
Regulation	Minimum	Low	Heavy

Why JSC is better than partnership (79 Ba, 76 Ch, 76 Ash)

- **Limited liability**: shareholders risk only their shares.
- **Larger capital** from many investors.
- **Perpetual life**: not ended by a death or quarrel.
- **Transferable shares**: an owner can exit without closing the firm.
- **Professional management** by an elected board.
- **Public confidence**, audited accounts → easier loans.

Private limited vs public limited company 5

PIN 1/29 67 Asa

Basis	Private limited	Public limited
Members (Nepal)	1 to 101	Min 7 promoters, no max
Shares to public	Not allowed	Offered to public, listed
Transfer of shares	Restricted	Free
Min capital	No statutory minimum	Paid-up Rs 1 crore
Start of business	On incorporation	Needs certificate of commencement
Disclosure	Less	Full, audited, published

Co-operative societies: meaning, features, types, merits and demerits 5 8

HOT 4/29 82 Bh, 81 Bh, 79 Bh, 72 Ka

- **Meaning:** voluntary association of persons on equal footing for common economic interest; **service motive**, not profit. Motto: “each for all and all for each”.
- **Features:**
 - Voluntary, open membership.
 - Democratic management: **one member one vote**, regardless of shares.
 - Limited dividend; surplus shared as patronage bonus.
 - Self-help and equality.
 - Separate legal entity after registration.
- **Nepal:** registered under the Cooperative Act 2074; a primary cooperative needs at least 30 members verified/added.

Merits

- Easy formation; limited liability; continuity.
- Democratic; protects weak members.
- Eliminates middlemen → cheaper goods, better prices.
- Government support, tax concessions; reduces inequality.

Types

1. **Producers’:** small producers pool raw materials, tools, sell output (dairy, handicraft, cottage industry).
2. **Consumers’:** buy wholesale, sell daily goods to members cheaply.
3. **Marketing:** farmers, artisans sell produce jointly (Eg milk cooperatives).
4. **Housing:** members get land, build houses at low cost.
5. **Credit / savings and credit:** pool savings, lend to members at fair rates (most common in Nepal).
6. **Multipurpose:** several services together.
7. **Farming:** small farmers pool land for mechanized farming.

Demerits

- Limited capital; inefficient, amateur management.
- Lack of motivation (fixed dividend); lack of secrecy.
- Lack of co-ordination; members lose the **spirit of co-operation** over time.
- Undue political influence, favouritism; misuse of funds (Nepal’s savings-cooperative scandals).

Public corporation: features, advantages, disadvantages; vs joint stock company 4

PIN 1/29 81 Ba

- **Meaning:** autonomous body created by a **special act of parliament**, wholly owned by government, for public service. Nepal: Corporation Act 2021 BS and individual acts. Eg Nepal Electricity Authority, Nepal Oil Corporation, Nepal Airlines Corporation, Nepal Food Corporation.
- **Features:**
 - Statutory creation; separate legal entity.
 - Wholly government owned; board appointed by government.
 - Financial and managerial autonomy.
 - Service motive.
 - Public accountability to parliament.

Advantages

- Autonomy + public accountability: flexibility of business, control of government.
- Service motive, protects public interest; strategic sectors kept national.
- Large finance from government; continuity; limited liability.
- Adhikari's "Public Corporations" slides (pp111–114: domestic / foreign / alien, double taxation) describe the **American business corporation**, i.e. a JSC. The syllabus means the government statutory corporation above.

Disadvantages

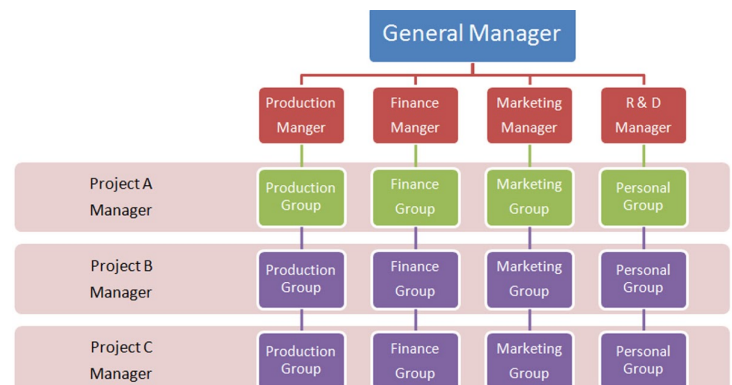
- Political interference; appointments by politics, not merit.
- Inefficiency, bureaucracy, losses (no profit pressure).
- Monopoly → poor service to customers.
- Autonomy often only on paper; delay in decisions.

Basis	JSC	Public corp.
Created by	Registration, Companies Act	Special act
Owners	Private shareholders	Government
Motive	Profit	Public service
Management	Elected board	Government-appointed board
Accountable to	Shareholders	Parliament, public
Capital	Shares	Government funds, loans

As CEO of a software company, which ownership and structure would you choose? 4+4

PIN 1/29 74 Ch · answer with a figure

- **Ownership: private limited company:**
 - Limited liability protects founders.
 - Can bring in investors and give employees shares (ESOP).
 - Continuity; credibility with foreign clients.
 - Converts to public later if it grows.
- **Structure: matrix:** functional departments (development, QA, design, marketing, finance) supply staff to project teams under project managers.
 - Many parallel client projects.
 - Shares scarce specialists.
 - Fast response, skill growth.



Matrix organization: functional managers across the top, project managers down the side. AJ Sir, Ch. 1 deck, slide 67.

1.5 Organizational Structure

Organization structure: meaning, factors, how it is designed for an enterprise 2 4

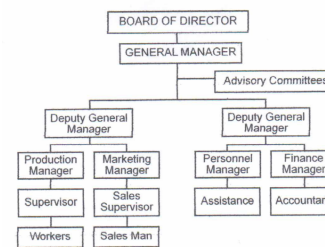
HOT 6/29 79 Bh, 75 Ch, 71 Ch, 71 Shr, 70 Asa, 68 Ch · short note in 79 Bh, 75 Ch, 71 Shr

- **Meaning:** the **framework** that divides total activities into groups, fixes superior-subordinate relations and authority, and shows who reports to whom. Shown on an **organization chart**.
- Covers division of labour, coordination, communication, workflow, formal power.
- **Depends on:**
 - Size of the firm; nature of product.
 - Technology; complexity of problems.
 - Environment; competence of staff.
- **Types:** line, functional, line & staff, committee, (matrix, project).
- The structure is the **skeleton**: it divides total activity into groups, prescribes each person's authority, and so shows the **hierarchy**: persons arranged by rank.
- An **organization chart** draws it: boxes = positions, lines = authority, dashed or side boxes = advisory (staff) bodies.
- Read the chart right: the board sets policy, the GM executes it, an advisory committee advises the GM without commanding anyone.

How it is designed (steps)

1. Set objectives.
 2. Identify and list activities.
 3. Group activities into departments (by function, product, area, customer).
 4. Decide levels and span of control.
 5. Assign authority and responsibility; delegate.
 6. Set coordination and communication links.
 7. Draw the chart; review as the firm grows.
- No single best structure: each firm evolves its own.

2.3.6 Organization Chart



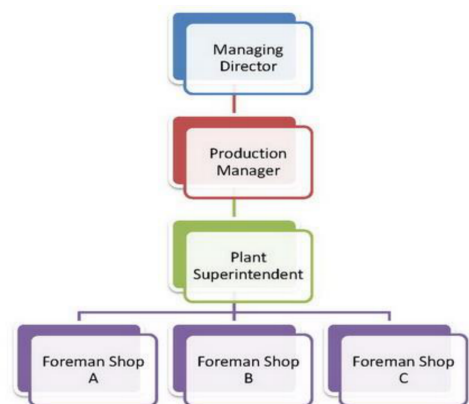
An organization chart with an advisory committee beside the general manager.
ioenotes Ch. 1, p20.

Line organization: features, advantages and disadvantages 4

HOT 4/29 76 Ch, 76 Ash, 71 Ch, 70 Asa

- Oldest, simplest; also **military** or **scalar** organization.
- Authority flows **vertically** top to bottom; responsibility bottom to top.
- Each head has full control of his department (finance, production, sales); each department is subdivided into sections and is a **self-supporting unit**.
- Lines of authority clearly defined; managers must be all-rounders.
- Suits small firms, routine work, few employees.

Advantages	Disadvantages
Simple, easily understood	Overload on top executives
Clear authority and responsibility	No specialization
Strong discipline	Dictatorial, one-man show
Unity of command	Depends on a few key persons
Quick decisions	Duplication of work across departments
Rapid communication, easy coordination	Unsuitable for large firms
Economical	Scope for favouritism; poor communication upward
Each department self-supporting	Undue reliance on key men; wastage of materials

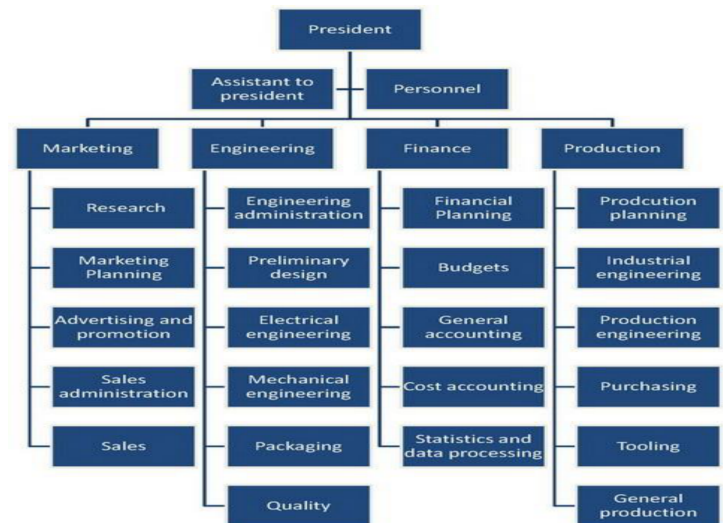


Line organization: a single vertical chain from managing director to foremen.

Functional organization: features, advantages and disadvantages (with sketch) 3 4

HOT 4/29 82 Bh, 68 Ch, 68 Ba, 67 Asa · short note in 67 Asa

- Proposed by **F.W. Taylor**: all-round foremen were hard to find.
- Work divided by **function**; each function under a **specialist** who commands workers **only in his field**.
- Taylor's **functional foremanship**: 8 foremen.
 - Planning room (4)**: route clerk, instruction card clerk, time and cost clerk, disciplinarian.
 - Shop floor (4)**: gang boss, speed boss, repair boss, inspector.
- Worker receives orders from several bosses → breaks unity of command.



Functional structure: marketing, engineering, finance, production, each under its expert.

Advantages

Specialization, expert guidance
 Efficiency, standardized operations
 Easy selection and training of specialists
 Reduced burden on top executives
 Lower cost through expertise; scope for growth
 Separation of planning from doing; lower prime cost

Disadvantages

Violates unity of command → indiscipline
 Overlapping authority, conflicts
 Shifting of responsibility
 Poor coordination between functions
 Delayed decisions needing several experts; costly
 Kills workers' initiative

Line and staff organization; its advantages over line and functional organization 4 5

HOT 4/29 82 Ba, 79 Bh, 74 Ch, 66 Bh

- Line structure + **staff specialists** (legal adviser, personnel, research, quality control) who **advise** line managers but have **no command authority**.
- "Staff are thinkers, line are doers."
- Suits large plants: steel mills, electricity boards, big factories.
- Why staff exist: line heads are busy with routine production, so staff do the investigation, research, recording and advising, and supply expert information.

General advantages

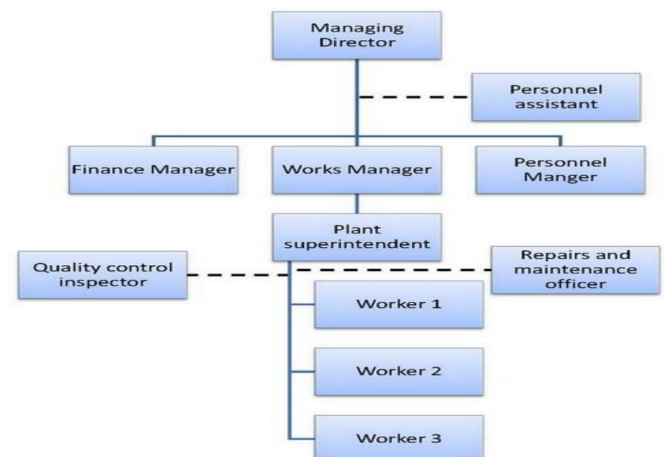
- Specialized knowledge available; suits progressive, growing business.
- Less wastage, improved quality, better decisions.

Advantages over line organization

- Expert advice → better decisions.
- Relieves overloaded line executives.
- Suits growth and complexity.

Advantages over functional organization

- Keeps unity of command and discipline.
- No overlapping authority.
- Clear accountability for results.



Line and staff: dashed lines are staff (advice only).

Disadvantages

- Line-staff friction; line resents advice.
- Staff without authority may be ineffective.
- Staff not accountable for results → lethargy.
- Expensive; confusion over duties.
- Line may lose initiative, over-rely on staff.
- Chances of misinterpreting staff advice.

Committee organization: types, merits and demerits 4

PIN 3/29 79 Bh, 75 Ash, 74 Ch

- Formal group of 2+ persons appointed to deliberate on problems one person cannot solve; members meet, discuss, recommend or decide.
- Not a separate structure: added to line or line & staff at any level.

Types

- **Ad hoc**: temporary, dissolves after its task.
- **Standing / permanent**: repetitive work (purchase, research committee).
- **Advisory (staff)**: recommend only.
- **Executive (line)**: has power to decide and enforce.
- **Formal / informal**: by charter or by convenience.

Merits

- Pooled knowledge; problem seen from several views.
- Coordination between departments.
- Democratic, participative; better acceptance.
- New ideas; checks concentration of power.

Demerits

- Slow decisions; costly (many people's time).
- Compromise, not the best decision; non-uniform final decisions.
- Divided responsibility (no one accountable).
- Dominated by a few members.

Matrix / project organization; which structure suits a (temporary) engineering project? 5 8

PIN 3/29 73 Ch, 72 Ch, 68 Ba · 68 Ba asks the matrix chart; 74 Ch's software-company version is in §1.4

- **Project organization**: a temporary team under a **project manager**, formed for one project, dissolved at completion.
- **Matrix**: project structure laid over a functional one; staff report to a functional manager (technical) **and** a project manager (schedule, cost). Two bosses. (Figure in §1.4.)
- **Merits**:
 - Efficient use of specialists across projects.
 - Clear project accountability.
 - Skill development, job rotation.
 - Fast response to clients.
- **Demerits**:
 - Violates unity of command (two bosses).
 - Power struggle between functional and project managers.
 - Complex, confusing; costly coordination.

Best for a temporary engineering project: project / matrix

- Project has fixed **start, end, budget, scope**: a dedicated project manager owns all three.
- Needs **many disciplines** (civil, electrical, mechanical, finance) together.
- Team **disbands** at completion; specialists return to departments.
- Single point of contact for client; faster decisions than line.
- **Line** would lack specialists, **functional** would scatter responsibility, **committees** are too slow.
- Large one-off project (hydropower, highway) → pure project organization; firm running many projects → matrix.

Authority and responsibility; span of control; policy group vs executive group 3 4 5

HOT 4/29 68 Ch, 68 Ba, 67 Asa, 65 Shr · span of control also a short note in 68 Ch

Authority vs responsibility

Basis	Authority	Responsibility
Meaning	Right to decide, command, use resources	Obligation to perform assigned work
Flow	Downward	Upward
Delegation	Can be delegated	Cannot be delegated fully
Source	Position (formal)	Superior-subordinate relation

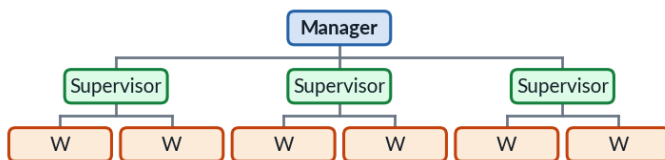
Principle: authority must be **equal** to responsibility.

Policy group vs executive group

- **Policy group**: board of directors / top management; frames objectives, policies, budgets (administration, thinking).
- **Executive group**: managers who carry policies out, direct day-to-day work (management, doing).

Span of control

- **No. of subordinates directly reporting** to one superior.
- **Narrow span:** close supervision, many levels, tall structure, slow communication.
- **Wide span:** flat structure, fast communication, more delegation, less control.
- Typical: 5–6 at top, 15–20 at shop floor.
- In a **line organization** span decides the no. of levels.



Narrow span (2 to 3 each): tall, 3 levels, close supervision.

Factors deciding the span:

- Ability of the manager and of subordinates.
- Nature of work: routine → wide; complex → narrow.
- Degree of delegation.
- Communication tools.
- Geographic spread of subordinates.
- **Graicunas:** with n subordinates the relationships to manage are $n(2^{n-1} + n - 1)$: 6 people → 222. Why span must stay limited.
- For $n = 1$ to 8: 1, 6, 18, 44, 100, 222, 490, 1080. Adding the 7th subordinate more than doubles the load.



Wide span (8): flat, 2 levels, more delegation.

1.6 Purchasing and Marketing Management

Purchasing: meaning, objectives (5 R's), principles, functions of the purchasing department 3 4 5 8

TOP 10/29 82 Bh, 81 Bh, 78 Bh, 76 Ch, 72 Ka, 71 Ch, 70 Ch, 70 Asa, 67 Asa, 65 Shr · short note "role of purchasing and marketing" in 82 Bh

- **Purchasing:** acquiring materials, supplies, machines, tools and services by payment, for the firm's operation. First phase of materials management.
- **Alford and Beatty:** "procuring of materials, supplies, machines, tools and services required for equipment, maintenance and operation of a manufacturing plant."
- **Objectives: the 5 R's:** right **quality**, right **quantity**, right **price**, right **time**, right **source** (+ right place).
- Continuous supply, minimum inventory, good vendor relations, low total cost.

Principles of purchasing

- Buy to specification and standards.
- Competitive quotations; buy on total value, not lowest price.
- Centralized purchasing for economy.
- Ethical dealing, no favouritism; prompt payment.
- Develop reliable, alternative sources.
- Keep records; review make-or-buy.

Purchasing vs procurement (71 Ch)

- **Purchasing:** the buying transaction (order, pay).
- **Procurement:** wider: need identification, sourcing, contracts, buying, logistics, receiving, vendor management; includes lease, hire, transfer.

Functions of purchasing department

1. Receive and check purchase requisitions.
2. Review specifications; standardize, simplify.
3. Keep records of materials, substitutes, suppliers, prices.
4. Call and analyse quotations; select vendor.
5. Negotiate; place orders; follow up.
6. Inspect: right quality and quantity.
7. Prepare purchase budget.
8. Buy at right time and economical rate.
9. Keep uninterrupted supply to production.
10. Liaison between vendors and production, QC, finance, stores.
11. Ensure prompt payment → good vendor relations.
12. Develop new sources; handle sub-contracts.
13. Keep inventory optimum; dispose of scrap and salvage.

Role of purchasing and marketing departments

- **Purchasing:** input side, supplies right materials at lowest total cost → cost and quality of product.
- **Marketing:** output side, finds needs, sells product, brings revenue.
- Together they link the firm to suppliers and customers.

Methods of purchasing; purchasing procedure (process outline) 2 4 5

HOT 6/29 81 Bh, 79 Ba, 76 Ash, 74 Ash, 72 Ch, 71 Shr

Methods (choice depends on firm size, nature and quantity of material)

1. **By requirement** (hand-to-mouth): buy whenever the need arises.
2. **For a specified period**: regular standard items (oils, coolants, stationery) bought for a future period set by production schedules.
3. **Market purchasing**: requirements from production planning + market trends → buy ahead of need when prices are low and likely to rise.
4. **Speculative**: buy excess at a price low for profit; price trend, not need, decides (unlike market purchasing).
5. **Rate contract**: suppliers supply at agreed prices for 2–3 years, reviewable on notice; basic materials (pig iron, steel, coal, coke).
6. **Group purchasing**: items bought in groups or lots in one order, not one order per item.
7. **Through a government supplies agency** (India's DGS&D): agency fixes annual rate contracts; departments order directly at those rates; firms certify they sell no cheaper elsewhere.

By procedure (AJ Sir)

- **Direct**: urgent, from a known supplier.
- **Quotation**: at least 3 quotations, pick best.
- **Tender**: public notice in newspapers; sealed bids; evaluate (large or public purchases; Public Procurement Act 2063 in Nepal).

Purchasing procedure (draw this for “outline of the purchasing process”, 76 Ash)



- **Purchase order** copies go to stores, accounts and the requesting department.
- **Inspection** ends in a goods-received report; only then is the invoice passed for payment.

Marketing: definition, concept, and its importance (in modern business and the digital era) 3 4 5 8

TOP 14/29 82 Bh, 82 Ba, 81 Bh, 81 Ba, 79 Bh, 79 Ba, 78 Bh, 76 Ch, 75 Ch, 74 Ash, 73 Ch, 73 Shr, 70 Ch, 68 Ba · asked almost every year

- **Stanton:** “a total system of interacting business activities designed to plan, price, promote and distribute want-satisfying products and services to present and potential customers.”
- **Kotler:** satisfying needs and wants through exchange processes.
- **Flow view:** business activities that direct the flow of goods and services from producer to consumer: the right product, right place, right quantity, right price, right time.
- Starts with identifying a consumer need, ends with satisfying it; the modern concept stresses consumer needs and freedom to choose.
- **4 P's (marketing mix):** product, price, place, promotion.

Marketing concept

- Evolution: production → product → selling → **marketing** → societal concept.
- Three pillars: **customer orientation**, **profit through satisfaction** (not volume), **integrated effort** of all departments.
- Selling concept: “sell what we make”. Marketing concept: “make what customers want”.

Marketing research (4 elements)

- **Current sales analysis:** what sells, where, to whom.
- **Market intelligence:** competitors' moves.
- **Market analysis:** reaction to price changes and new products.
- **Product evaluation:** how the product performs for users.

Functions of marketing 4 5

PIN 3/29 81 Ba, 71 Shr, 71 Ch

Classical grouping (Adhikari): marketing adds value through its functions

- 1. Exchange** (ownership transfer):
 - **Buying:** assembling goods for resale or use.
 - **Selling:** finding buyers, persuading, transferring ownership.
- 2. Physical distribution:**
 - **Transport:** moves goods to where they are needed (place utility).
 - **Storage / warehousing:** holds goods until needed (time utility).
- 3. Facilitating:**
 - **Standardization and grading:** uniform quality, easy buying.
 - **Financing:** credit to dealers and customers.
 - **Risk bearing:** price fall, spoilage, theft; insurance.
 - **Market information:** demand, prices, competitors.

Importance

- **To the firm:**
 - Brings revenue, the only source of profit.
 - Tells production what to make.
 - Builds brand and loyalty; survives competition.
- **To consumers:**
 - Right product, right place, right price.
 - Wider choice and product information.
- **To society / economy:**
 - Creates demand → production → jobs.
 - Raises living standard.
 - Distribution to remote areas; exports earn foreign exchange.
- Fundamental: without a customer nothing else in the firm is needed (Drucker: “marketing and innovation are the two basic functions”).

Importance in the digital era (81 Ba)

- Social media, search, e-commerce: reach millions at low cost.
- Data analytics: precise targeting, personalization.
- Measurable ROI; real-time campaigns.
- Two-way engagement, reviews, influencers build trust.
- Small firms and startups compete globally.
- Digital payments (eSewa, Khalti) enable online selling in Nepal.

Modern list (AJ Sir)

- **Product / service management:** what to make, features, quality.
- **Pricing:** cost, competition, demand.
- **Promotion:** advertising, sales promotion, publicity.
- **Distribution (channel):** wholesalers, retailers, online.
- **Selling and financing.**
- **Market information management,** buying.
- **Packaging and branding:** protects and identifies the product.
- **After-sales service:** installation, repair, warranty.

Advertising: definition, and why it is one of the best forms of marketing 1 3

PIN 3/29 78 Bh, 72 Ch, 70 Ch

- **Definition:** paid, non-personal communication of information about a product, service or idea through mass media by an identified sponsor, to create or maintain demand.
 - Media: newspaper, TV, radio, online, billboards.
 - From Latin *ad verito*, “to turn towards”: turning attention toward the product.
- Integral part of marketing; the **pivot** of modern trade: informs customers what and where, creates demand.
- Real goal: effective communication that **modifies attitudes or behaviour** of the receiver.
- **Why the best form:**
 - Mass reach at low cost per contact; repetition builds memory.
 - Creates awareness and new demand; launches new products.
 - Builds brand image and goodwill; supports salesmen and dealers.
 - Informs and educates consumers; counters competition.
 - Digital ads are targeted and measurable.

Salesmanship; marketing vs purchasing; marketing software products in Nepal 4

PIN 3/29 76 Ash, 73 Shr, 68 Ch

Salesmanship is an important ingredient of marketing? Agree (73 Shr)

- Personal selling persuades face to face, explains technical products, handles objections, **closes the sale**.
- Brings customer feedback to the firm; builds relationships.
- But it is **one ingredient**: product, price, place and research come first.

Marketing vs purchasing (68 Ch)

- Purchasing: **inputs**, firm is buyer, aims at low cost, deals with suppliers.
- Marketing: **outputs**, firm is seller, aims at revenue and satisfaction, deals with customers.

Challenges for marketing software in Nepal (76 Ash)

- Small domestic market; low willingness to pay for software.
- Piracy; free alternatives.
- Preference for foreign brands; trust deficit in local products.
- Low digital literacy and internet access outside cities.
- Limits on international payments; weak IP law enforcement.
- Skilled marketers scarce; brain drain.
- Response: freemium, local language, SaaS subscriptions, export markets, partnerships with banks and telecoms.

1.7 Topics Set Only by the 2065–2068 Papers

These came from the older ME708 syllabus and have not been set since 2068. Know one paragraph each. verified/added

Activities of production development 5

PIN 2/29 66 Bh, 65 Shr

- Idea generation (market, R&D, competitors).
- Screening; feasibility (technical, economic).
- Product design; prototype; testing.
- Pilot production; test marketing.
- Commercial launch; review.
- Supporting: standardization, simplification, specialization, value analysis.

Manufacturing methods; CIM 4 6

PIN 1/29 67 Asa · CIM short note

- **Job / project:** one-off to order (ships, dams).
- **Batch:** lots of similar items (medicine, garments).
- **Mass / flow:** standard products on lines (cars).
- **Continuous process:** round-the-clock flow (cement, refinery).
- **CIM** (computer-integrated manufacturing): the whole plant computer-controlled.
 - Parts: CAD, CAPP, CAM, CNC machines, robots, FMS, AGVs, one shared database.
 - Benefits: flexibility, consistent quality, short lead time, less inventory.
 - Limits: high cost, skilled staff needed, vulnerable to system failure.

1.8 PYQ Mapping

Theory questions, covered in this document

- Define organization; need, importance, role in society; can we sustain without it → §1.1. 16 papers; the rider on most 8-mark questions.
- Organization as open / social system; system approach → §1.1. 81 Bh 2, 79 Ba 2+2, 70 Ch 4
- Role in employee's professional growth → §1.1. 81 Bh 4, 75 Ch 4
- Principles of organization → §1.1. 9 papers, 4 to 8.
- Formal vs informal; need for informal; informal organization in a family → §1.1. 11 papers.
- Historical development 79 Bh 3; characteristics / elements 73 Ch 4, 68 Ch 4; organizational behaviour 68 Ch 4, 68 Ba 4, 67 Asa 4, 66 Bh 4 → §1.1.
- Functions of management (incl. "two principal functions", 79 Ba) → §1.2. 15 papers: the most asked list in the subject.
- Levels, need for levels, functions at each level → §1.2. 9 papers.
- Managerial skills, degree per level, qualities of a manager → §1.2. 10 papers.
- Models of management → §1.2. 81 Bh 4, 80 Bh 4, 76 Ash 4, 70 Ch 3+5
- Roles of a manager 76 Ash 4; importance of management 71 Shr 4, 70 Asa 3; science or art 78 Bh 3; organization vs management 79 Ba 2, 76 Ash 2, 71 Ch 2; best theory today / for Nepal 80 Ba 4, 74 Ash 8 → §1.2.
- Scientific management (principles, experiments, still applicable; vs management science; HR manager implementing it) → §1.3. 11 papers.
- Fayol's administrative theory, 14 principles, applicability → §1.3. 9 papers.
- Behavioural approach; its advantages over scientific / modern; comparisons of the three approaches → §1.3. 11 papers.
- System and contingency approach 82 Ba 8, 68 Ch 5, 67 Asa 7, 66 Bh 4; MBO 68 Ch 4 → §1.3.
- Forms of ownership; changing form; CEO of a software company → §1.4. 82 Ba 4, 74 Ch 4+4, 73 Shr 4+4, 71 Shr 4
- Single ownership 80 Bh 8, 71 Shr 4, 65 Shr 4; partnership 81 Bh 3, 74 Ash 3+5, 67 Asa 4 → §1.4.
- Joint stock company (features, formation in Nepal, merits, vs partnership, vs public corporation, private vs public) → §1.4. 10 papers.
- Cooperatives 82 Bh 5, 81 Bh 5, 79 Bh 8, 72 Ka 8; public corporation 81 Ba 4 → §1.4.
- Organization structure → §1.5, including short notes in 79 Bh, 75 Ch, 71 Shr.
- Line 76 Ch 4, 76 Ash 4, 71 Ch 4, 70 Asa 4; functional 82 Bh 3, 68 Ch 3, 68 Ba 4, 67 Asa 4; line & staff 82 Ba 4, 79 Bh 4, 74 Ch 4, 66 Bh 5; committee 79 Bh 4, 75 Ash 4, 74 Ch 4 → §1.5.
- Matrix; structure for an engineering project 73 Ch 8, 72 Ch 8, 68 Ba 5; authority, responsibility, span, policy vs executive group 68 Ch, 68 Ba, 67 Asa, 65 Shr → §1.5.
- Purchasing, 5 R's, principles, functions → §1.6. 10 papers.
- Methods of purchasing; purchasing procedure → §1.6. 6 papers.
- Marketing: definition, concept, importance → §1.6. 14 papers.
- Functions of marketing; advertising; salesmanship; marketing vs purchasing; software marketing in Nepal → §1.6.
- Production development, manufacturing methods, CIM → §1.7. 67 Asa, 66 Bh, 65 Shr

Short-note prompts placed here (2065–2068 ones from the Detailed PYQ's "Extra" section)

- Scientific management, span of control, MBO 68 Ch; contingency management theory 66 Bh; marketing concept 68 Ba; partnership, functional organization, CIM 67 Asa; single ownership, informal organization 65 Shr; team effort model, managerial skills 81 Bh; organizational structure 79 Bh, 75 Ch, 71 Shr.
- Industrial relations, collective bargaining, job design, incentive programs and manpower planning go to Ch. 2; leadership style, contingency approach to leadership, satisfaction-progression vs frustration-regression and entrepreneurial characteristics go to Ch. 3.

Numerical content

- This chapter has no numerical component: no paper in 29 sets a calculation. The only formula here (Graicunas' span relationships) is there to strengthen a theory answer.

Corrections to the source notes

- Adhikari p17: WTO was founded in 1995 (not 1955); GATT was signed in 1947.
- Adhikari p105: a private company in Nepal may have up to 101 shareholders (Companies Act 2063), not 50; p106 says "maximum number of persons to form a company is seven": seven is the **minimum** for a public company.
- Adhikari pp111–114: "public corporation" there is the US business corporation; the syllabus means a government statutory corporation.

- AJ Sir slide 50: cooperatives “at least 10 and no more than 100 members” is not Nepal law; the Cooperative Act 2074 sets a minimum of 30 for a primary cooperative.
- AJ Sir slide 31: Fayol was born in 1841.
- Syllabus file prints course code CT 710; every paper prints ME708.

Figures

- Only diagrams an answer would draw are kept: org charts, process cycles, step flows, pyramids, matrices. No photos, portraits or decorative charts.
- Cropped, never redrawn: Adhikari's notes (pp36, 37, 53, 57, 59, 62, 65, 66, 120, 124, 128) and the ioenotes Ch.1 PDF (pp1, 20).
- Generated (ch1fig.py) only where no source has a picture.

Abbreviations, chips and month codes

Only these are ever shortened. Anything not on this list is written out in full.

Short	Means	Short	Means
JSC	joint stock company	MNC	multinational company
HR, HRM	human resource (management)	OB	organizational behaviour
MBO	management by objectives	CEO, MD	chief executive officer, managing director
AGM	annual general meeting	ESOP	employee share ownership plan
MoA, AoA	memorandum / articles of association	OCR	Office of the Company Registrar
SEBON	Securities Board of Nepal	NEPSE	Nepal Stock Exchange
IPO	initial public offering	PAN, VAT	permanent account no., value added tax
NEA	Nepal Electricity Authority	NOC	Nepal Oil Corporation
QC	quality control	R&D	research and development
OR	operations research	ROI	return on investment
CIM	computer integrated manufacturing	FMS	flexible manufacturing system
CAD, CAM	computer aided design / manufacturing	CAPP	computer aided process planning
CNC	computer numerical control	AGV	automated guided vehicle
MIS	management information system	IT	information technology
SaaS	software as a service	BPO	business process outsourcing
CSR	corporate social responsibility	POSDCoRB	plan, organize, staff, direct, coordinate, report, budget
OPC, PPC	ordinary Portland / Portland pozzolana cement	TPD	tonnes per day
DCS	distributed control system	ERP	enterprise resource planning
DG	diesel generator	KPI	key performance indicator
DPR	daily production report	SSF	Social Security Fund
NS	Nepal Standard (quality mark)	VED	vital, essential, desirable (spares)

Short	Means	Short	Means
no.	number	info	information
vs, Vs	versus	Eg	example / for example
+Fig	draw a figure	(I)	importance / need / significance
→	leads to / therefore	+	and
=	is / equals	min, max	minimum, maximum
Ch.	chapter	§	section

Chip Means (29 papers, 2065–2082 BS)

TOP n/29	asked in 8 or more papers
HOT n/29	asked in 4 to 7 papers
PIN n/29	asked in 1 to 3 papers, inside an 8-mark question
LOW n/29	asked in 1 to 3 papers, as a 4-mark short note only
syllabus, no PYQ yet	in the syllabus, never examined
4+4	marks as printed; several chips = the question recurred at different marks
verified/added	researched and added beyond the lecture notes
80 Bh	bold year = Regular exam; plain = Back exam

Months: Ba = Baishakh, Jth = Jestha, Asa = Ashad, Shr = Shrawan, Bh = Bhadra, Ash = Ashwin, Ka = Kartik, Mng = Mangsir, Po = Poush, Ma = Magh, Ch = Chaitra. **Ash and Asa are different months.** **Sources:** AJ Sir = AJ Sir's lecture decks; Adhikari = Bikash Adhikari, *Organization and Management* slide notes; Joshi = S.K. Joshi, *Organization and Management*, A.K. Books.